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Adjustments

(a) Six months interest on loan is outstanding.

(b) Two months rent is due from tenant, the monthly rent being ` 25.

(c) Salary for the month of March 2016, ` 75 is unpaid.

(d) Stock in hand on March 31, 2016 was valued at ` 1,030.

(**Answer**: Gross profit: ` 1,930; Net profit ` 1,405, Balance sheet total ` 5,555)

16. The following trial balance was extracted from the books of Arun Traders as on 31st March, 2018.

Particulars	Debit `	Credit `
Buildings	17,500	
Plant and machinery	12,000	
Cash purchases	30,000	
Credit purchases	8,500	
Sales		63,250
Bills receivable	6,750	
Coal and water	1,625	
Office expenses	5,250	
Rent received		1,750
Carriage outwards	2,875	
Repairs and maintenance	500	
Wages	9,250	
Debtors and creditors	9,000	8,500
Cash	2,000	
Capital		44,750
Opening stock	13,000	
	1,18,250	1,18,250

Prepare trading and profit and loss account for the year ending 31st March, 2018 and balance sheet as on that date after considering the following:

(a) Depreciate Plant and machinery @ 20%

(b) Wages outstanding amounts to ` 750.

(c) Half of repairs and maintenance paid is for the next year.

(d) Closing stock was valued at ` 15,000.

(**Answer**: Gross profit: ` 15,125; Net profit ` 6,100, Balance sheet total ` 60,100)